



Your next phone will cost more, do less

Experts throw light on why this is happening in 2026

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In January 2026, representatives from Chinese smartphone brands sat down with the All India Mobile Retailers Association (AIMRA) and told them that the standard 5G phones that had always been available around Rs 10,000 would breach Rs 20,000 by Diwali. “I communicated this regularly through media, internal meetings, and retail WhatsApp groups,” says Kailash Lakhyani, founder chairman of AIMRA. “Once older inventory dried up, the real impact hit the ground with a 20–30% price spike. Retailers are now left to explain this over the counter.” Prophetic words indeed.

Smartphones in India are getting more expensive primarily because of a global memory chip shortage driven by artificial intelligence (AI) infrastructure demand. Memory and storage now consume over 60% of the bill of materials in budget smartphones, according to technology analyst Yogesh Brar, with mobile DRAM and NAND flash prices rising approximately 4x since September 2025 and expected to reach 5x in the coming months. This has forced manufacturers to either raise retail prices significantly or exit the entry-level segment entirely, collapsing the supply of smartphones below Rs 10,000 and pushing the

average selling price in India to a record \$302 in Q1 2026.

AI's unintended tax on the smartphone buyer

Smartphone manufacturers are currently paying five to seven times more for the mobile DRAM and NAND flash storage that go into every phone than they were a year ago, according to Yogesh Brar. In the budget and mid-tier segments, memory and storage now consume over 60% of the total bill of materials (BOM).

Semiconductor manufacturers have been reallocating production capacity away from the mobile-grade memory chips toward high-bandwidth memory (HBM), the specialised variant demanded by AI data centres and accelerators. The reallocation of semiconductor capacity from mobile to AI memory accelerated sharply

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YOGESH BRAR

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in the second half of 2025. A single Nvidia Vera CPU tray, for instance, consumes quantities of low-power DRAM that would have previously supplied dozens of smartphones. With data-centre operators willing to pay far higher margins than consumer electronics manufacturers, smartphone makers have been pushed to the back of the queue. LPDDR4 mobile memory supply is expected to decline more than 40% over the course of 2026 as fabrication facilities shift capacity to AI-driven HBM and server DRAM.